

Procure Space ETF

SPCX NASDAQ

Buy	\$152.10 ▲ 1.92%	12M Price Target \$175.00	52-Week Range \$104.83 – \$225.64	Market Cap \$2.01T
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SPCX: Space ETF Bouncing as Starlink Drama Highlights Sector Power

WHAT HAPPENED

- SPCX popped 1.9% today to \$152 on lighter volume — the bounce comes after Monday's dip to \$145, so this is more of a "buy the dip" reflex than a fresh catalyst. The Musk-vs-Delta Starlink headline is actually bullish noise here — it's a reminder that Starlink (a huge indirect driver of the whole space ETF thesis via SpaceX's ecosystem) is now embedded in commercial aviation debates, which means the space economy is going mainstream.
- Stock is sitting at just 39% of its 52-week range (\$105–\$226) — meaning it's closer to the lows than the highs. Translation: sentiment cooled hard from earlier this year, and today's bounce could be the start of a re-rating if catalysts line up.

WHY IT MATTERS

Here's what I'm thinking: SPCX is a basket of space stocks (satellite operators, launch companies, defense space contractors), so it moves on sector-wide narrative more than any single earnings print. The options flow is screaming bullish — a put/call ratio of 0.47 means traders are buying roughly 2 calls (bets it goes up) for every put (bet it goes down), and there's unusual call buying at \$150, \$152.50, and \$155 strikes expiring in October. That's smart money betting on a near-term breakout, probably tied to expected defense budget headlines and the Trump administration's AI/tech leader meetings (Karp from Palantir was there — Palantir has deep space/defense ties). If the White House keeps signaling "we're all-in on commercial space + defense tech," this ETF is a direct beneficiary.

POLICY & POLITICAL WATCH

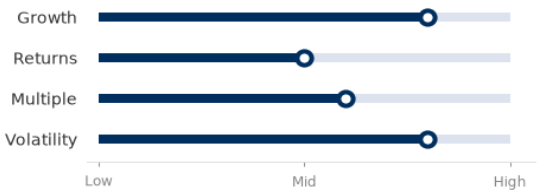
The big political tailwind is the FY2027 defense authorization cycle — Space Force funding has been growing double-digits every year, and the administration is pushing more commercial contracts (buying satellite services from private companies rather than building government satellites). Watch for the Commercial Space Act reforms floating around Congress that would streamline FAA launch licensing — right now launch approvals are a bottleneck, and if that gets fixed, cadence goes up and revenue for the whole ETF goes up. Counter-risk: any Musk/Trump falling out could hit SpaceX-adjacent names, and Starlink's fight with airlines (like the Delta headline) hints at brewing commercial friction.

IS IT EXPENSIVE?

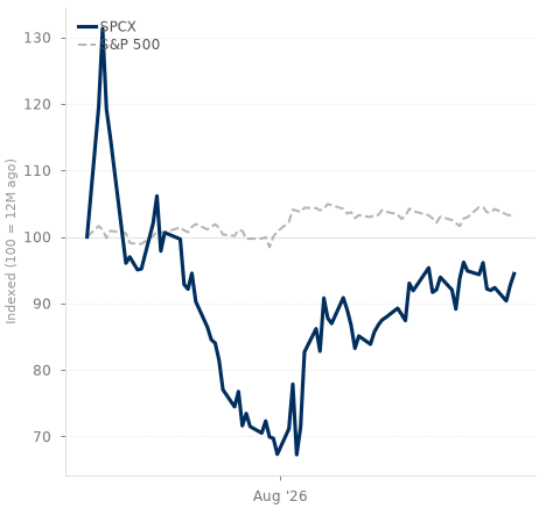
Key Data

Price (USD)	\$152.10
12M Price Target	\$175.00
Upside / (Downside)	+15.1%
Market Cap	\$2.01T
FY2026E Revenue	\$693M
FY2027E Revenue	\$940M
FY2026E EPS	(\$2.10)
FY2027E EPS	(\$1.50)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$165.00	\$158.00	\$142.00
6 Months	\$190.00	\$172.00	\$135.00
1 Year	\$225.00	\$175.00	\$125.00
2 Years	\$280.00	\$210.00	\$120.00
5 Years	\$400.00	\$290.00	\$150.00
10 Years	\$650.00	\$425.00	\$180.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+0.99%) and Energy (+0.91%) are leading today — tech benefits from the AI leaders meeting at the White House, energy from ongoing geopolitical premium in oil. Space sits at the intersection of tech, defense, and industrials, so tech strength is a positive read-through.

COOLING OFF: Materials (-2.4% over 5 days) and Consumer Discretionary (-1.3%) are lagging — signals defensive positioning and worries about consumer spending.

ROTATION WATCH: Money is quietly rotating into tech and defense-adjacent themes as the administration keeps signaling AI/space/defense as national priorities. That's a direct tailwind for SPCX.

RELATED PLAY: If SPCX keeps working, look at the picks-and-shovels names — satellite component makers, ground station infrastructure, and defense primes like LMT and NOC that supply the launch and satellite ecosystem.

WHO'S WINNING IN THIS SPACE?

- RKLB (Rocket Lab): Winning on launch cadence and Neutron rocket progress — direct beneficiary of commercial launch demand.
- PLTR (Palantir): Not in SPCX directly, but Karp's White House meeting reinforces the government-tech-space nexus that benefits the whole ETF.

SPCX CONTEXT: SPCX is lagging its individual big-name holdings — some space stocks are up 50%+ YTD while the ETF is stuck near lows. That tells me there's mean-reversion potential if the laggards in the basket catch up, or if sector sentiment broadens beyond just the top 1-2 names.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup but this is an ETF, so upside is capped by basket construction. Bullish options flow gives me confidence in the near-term bounce.

POSITION SIZE: 3-5% of portfolio — enough to matter if it runs, small enough that a 30% drawdown doesn't ruin your year.

ENTRY POINTS: Add on dips to \$145-148. The \$145 level held on Monday, so that's your line in the sand.

TIME HORIZON: 12-24 months. Catalyst I'm waiting for: FY2027 defense budget clarity and continued commercial space contract wins.

WHEN TO BAIL: If it breaks below \$135 on volume, or if a major satellite failure/regulatory shock hits the sector, I'm cutting.

HEDGING: Simplest hedge is just sizing it right. If you want to get fancy, buy a small put position (a contract that pays off if the stock drops) on any name in the basket that looks overextended — that offsets some downside without you having to time an exit.